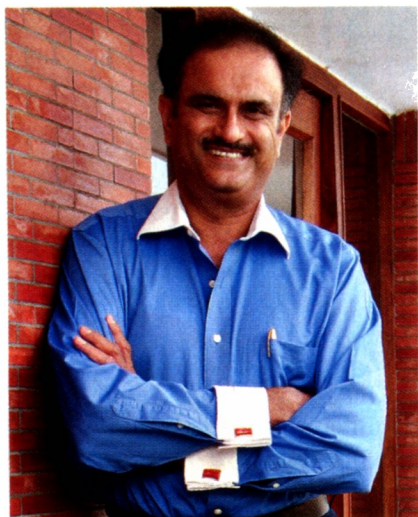


"We don't plan to tweak our menu too much. We will grow to areas where we are not present."

VIKRAM BAKSHI, MD,
McDonald's India



AMIT KUMAR



"Customers need to be tapped wherever they go. We look to reach them at any time of the day."

NIREN CHOUDHARY, MD,
Yum! Restaurants India

"Within the next five-seven years, we will take our count from 296 to 700 outlets."

AJAY KAUL, CEO,
Jubilant FoodWorks



RAVI S SAHANI/www.indiatodayimages.com

bullish. Says Kaul, "While China had been growing at 5-10 stores a year, the explosion of growth in India is far more recent. In the next five-seven years, we will take our count from 296 to 700 stores."

With changing lifestyles of young Indians, also comes another opportunity for growth. Catching the consumers where they are. This means the growth of travel retail. After malls, fast food eateries are targeting airports, highways, railway stations, corporate parks, clubs, fuel stations, etc. "With limited time, customers need to be tapped wherever they go," says Niren Choudhary, MD, Yum! Restaurants India. The company has set up express delivery counters at

airports. Even Sagar Ratna is exploring an express model by next year, says CFO K.S. Suresh. "Currently two people spend an average 30 minutes in the restaurant. This will reduce the time to 12 minutes approximately." Home delivery is another big area, growing at 15-20 per cent.

But the fast food retail industry is faced with many hurdles, too. The main pain point is the high cost of real estate. Add to that rising input costs; companies claim their margins are getting squeezed. While the global standard is 10-15 per cent of sales as rentals, in India it goes as high as 20-25 per cent. Says Narayanaswamy, "QSRs follow a revolving door concept, which is come, buy and leave. But

India has more of a dine-in culture, which adds to the real estate costs." Kaul says that most of the new Domino's outlets, especially in tier II and III cities, come with a dining area.

"It's a business of patience, not one of making money," says Shyam Sunder Aggarwal, MD, Bikanervala. When that is perfected, there are changing customer preferences to deal with. As consumers taste global cuisine, they want the real thing here. Ask Ashish Kapur, founder of Yo! China. Before Yo! came along in 2003, no one had been successful at doing a fast food Chinese restaurant. Changing tastes and dipping footfalls, however, forced them to change their look and feel, which is a more upscale casual dining kind of restaurant. "Seven years ago we were serving dimsums and combos," he says, "today it is more khau suey (ingredients served separately) and sizzlers and claypots that people want." Having changed helped. Today their footfalls are up 35 per cent. Kapur also something else going for him: a bit of diversity. Needless to say, customers are 'lovin' it'.

Most of those eating out are from the 20-30 age group closely followed by the 15-19 section.

35% of Indians enjoy South Indian cuisine, 27 per cent North Indian, and 24 per cent Chinese.